Global Crossing (B)

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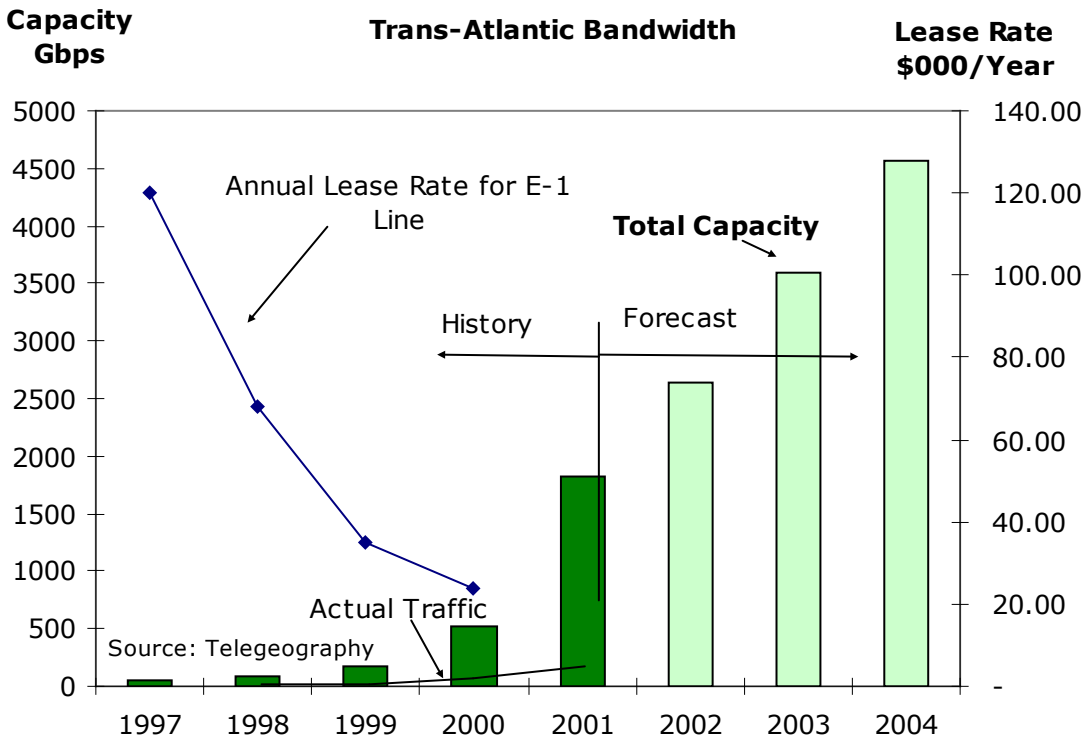
Exhibit 1



By February 1, 1999, Global Crossing had passed the $1 billion mark in capacity purchase agreements signed on its network, chiefly the AC-1. By the end of the month, the company announced that Robert Annunziata would be Chief Executive Officer; Scanlon, the previous CEO, assumed the position of Vice-Chairman of the Board. Annunziata was hired away from AT&T, where he had run the business services group, which operated a global network providing voice, data, and Internet service to 8 million business customers worldwide. Before that, Annunziata has been chairman and CEO of Teleport Communications Group, the largest non-Bell telco in the U.S. Annunziata had built TCG up from nothing before selling it to AT&T for $12 billion in 1998. Earlier, Annunziata had worked for AT&T for 17 years in a variety of sales and operations positions.

On March 17 1999, Global Crossing and Frontier announced that they had signed a definitive merger agreement. Frontier had once been known as Rochester Telecom, and had been one of early buyers of capacity from the first new-economy fiber project—Qwest's terrestrial network. Regarding the merger, Annunziata said, "Frontier will give us an up-and-running high-speed U.S. fiber network providing long distance and local connectivity, a wide range of data and Internet services and extensive sales and support capabilities.

This will jump start Global Crossing into the next phase in our strategic development—fully integrated retail services, both business and residential, on a global basis in the years ahead.'' According to the terms approved by both companies' boards, Frontier share holders would receive shares in Global Crossing worth $11.2 billion, such that they would own one-third of the merged company. On a pro forma basis, the new company's market value was nearly $30 billion, with combined annual sales in excess of $4 billion; earnings before interest, taxes, depreciation and amortization (EBITDA) of more than $1 billion; and over 8,500 employees.

One week later, Global Crossing announced its plan to build a second transatlantic cable, AC-2. The new cable, expected to begin service in the first quarter of 2001, would cost $500 million and have 8 fiber pairs, each carrying 32 wavelengths, each wavelength carrying 10 Gbps. The total ultimate capacity of the cable would be 2,500 Gbps. Because Global Crossing already owned and controlled a self-healing loop linking North America and Europe, the new cable was designed to be one-way, rather than a loop. Engineers calculated that any outages could, in the early years, be shifted to AC-1 safety capacity, and vice-versa. The existence of a strong network between North America and Europe, it was believed, gave Global Crossing a significant "first mover advantage" in that future new entrants into the transatlantic market would have to build loops rather than single lines. CEO Annunziata said

> With this announcement and our planned merger with Frontier Corporation in the U.S., we are moving to the highest capacity global fiber optic network in the world. Analysts forecast bandwidth demand on the Atlantic route to grow at about 80 percent per year, driven primarily by the explosion of the Internet use in Europe. The addition of Frontier's fiber-optic network in the United States and now the double-redundancy of our trans-Atlantic cables ensure that national telephone providers, data-centric multinational corporations, and Internet providers in the Americas and Asia have guaranteed connectivity with the major cities of Europe. By using the latest technology, we will be sure that no competitor will have a cost advantage over us.

U.S. West

In May 1999, Global Crossing announced its intention to merge with US West, the former "Mountain Bell." The $37 billion deal was greeted with mixed feelings by the investment community. Forbes noted that U.S. West was "nobody's idea of a glamour stock." Business Week opined that Global Crossing was becoming a "giant" in the industry. The combined company would have joint-CEOs: Annunziata from Global Crossing and Sol Trujillo of US West—and two "tracking stocks," one for the "growth" company and one for the baby-bell.

In June, Qwest announced simultaneous hostile bids for both Frontier and US West. Qwest's surprise move seemed to be aimed at actually taking over Global Crossing's strategy. Qwest's share price fell by about 25% in the days following the announcement. In the ensuing war of words, Nacchio of Qwest stated that:

> Global Crossing have described themselves as the wet Qwest—Qwest under the ocean. They have aspirations to be like us but they're not. We've completed our nation-wide network. They have one cable under the Atlantic.

The New York Times observed that "both Global Crossing and Qwest need customers and they need to get them before investors realize how great the need really is."

On July 19, 1999, the two companies announced an agreement that split the two merger targets: Global Crossing would go ahead with its deal with Frontier, and Qwest would merge with US West.

Expansion

The first upgrade of AC-1 was completed in August 1999. It doubled the cable's capacity to 80 Gbps at an investment cost of $52 million. At that time, Global Crossing management

began discussing the option for a second upgrade that would again double the cable's capacity (to 160 Gbps). The projected cost of the second upgrade was $126 million.

In November 1999, Global Crossing, Softbank (Tokyo), and Microsoft announced the formation of Asia Global Crossing, a new joint venture company to provide advanced network-based telecommunications services to businesses and consumers throughout Asia. The venture housed Global Crossing's PC-1 cable project and would manage future cable projects and terrestrial expansion in Asia. Each of the three partners contributed $175 million in cash and Global Crossing maintained control of the board of directors. The PC-1 was completed in December, 1999,[1] providing broadband capacity from the United States to Tokyo. The number of Internet users in Japan was approaching 20 million, and growing at a rate of over 50% per year.

In January 2000, Global Crossing launched a Data-Virtual Private Network (Data-VPN) service to allow multi-national companies to connect multiple locations, without the associated costs of installing private lines and hardware to connect each location. The Data-VPN supported key applications such as remote access, employee information, communication Intranets and supply chain extranets between various sites.

In February 2000, Global Crossing announced the acquisition of IXnet. IXnet provided desktop-to-desktop broadband data and voice services to more than 600 financial institutions worldwide, including investment and commercial banks, asset managers, broker/dealers, and trading firms. IXnet also hosted and distributed market data, news, streaming video, research and analytics for more than 30 content providers to the global financial community in 37 countries.

In the same month, Global Crossing signed a contact with SWIFT, the organization managing fund transfers among banks worldwide. Under the agreement, Global Crossing would co-manage the development and operation of Swift's "Secure IP Network Infrastructure." The deal was estimated to be worth $300 million in revenue to Global Crossing.

In September 2000, Global Crossing announced that it would sell its web-services business, GlobalCenter, to Exodus, a rapidly growing web-services provider to business. Global Crossing would receive stock in Exodus valued at $6.1 billion. In addition, the two companies agreed on a 10-year contract for Exodus to use Global Crossing's networks for its data needs.

In January 2001, Global Crossing announced the completion of a 10,000 km segment, known as PAC, connecting the U.S. and Mexico to Central America and the Caribbean.

In March of 2000, Global Crossing announced that the AC-2 would be built jointly with Level 3, a "new economy" network builder, modeled after Qwest. Level 3 and Global Crossing would each own one-half of the new cable, called Yellow. Global Crossing's portion would be known as AC-2.

Also in March 2000, Robert Hindery succeeded Robert Annunziata as CEO. Annunziata moved on to become a director of the company. In a press release, Winnick noted that

> We deeply appreciate all that Bob Annunziata has done to help build Global Crossing over the past year. With our unparalleled global IP network now nearly completed, we are focusing on maximizing the value of our unique broadband and Internet assets while ramping up delivery of value-added services to customers throughout the world. Leo Hindery is the ideal executive to help Global Crossing realize its full potential. Leo knows how to run large companies, he has current Internet experience and he has a proven record of creating shareholder value. At TCI, he reshaped the company and the cable industry, creating $50 billion in value for its shareholders.

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[1] PC-1 was the first non-carrier, non consortia, privately owned and operated cable system to cross the Pacific Ocean. The cable, a 21,000 km long four fiber self healing ring operated at 80 Gbps, upgradeable to 640 Gbps. Asia Global Crossing was the majority shareholder in PC-1.

In May 2000, Global Crossing announced that it was making plans to divest itself of the local exchange carrier business it had acquired in the merger with Frontier (that is, the old Rochester Bell company). It would keep the new long-distance fiber assets Frontier has amassed.

In October 2000, Global Crossing's common stock was listed on the New York Stock Exchange.

Supply and Demand

In the years 1998 through mid-2001, traffic on the Internet backbone grew at a rate of 100% per annum, doubling each year (Exhibit 3).

In 2001, there was no reliable estimate of traffic on the transatlantic route, but no one had a full count of how much of that traffic moved across the Atlantic.

It was difficult to estimate actual bandwidth usage for two reasons: (1) network carriers were somewhat secretive about their traffic growth, and (2) the new Internet networks were less expensive precisely because they eliminated most of the overhead associated with keeping track of traffic. Under the old voice system, each nation had good statistics on the total number of minutes of voice traffic carried on its system and crossing its borders. However, on the Internet, customers were billed for the bandwidth they reserved, not what they used.

Nevertheless, some estimation was possible. Telegeography estimated that actual traffic on the transatlantic route was 17% of capacity at the end of 2000. In 1998 and 1999, utilization was estimated to have been 16 and 18%, respectively. These utilization estimates were obtained by starting with voice traffic, which was known (e.g., 10.3 Gbps in 2000), and estimating private-data and Internet traffic from the amount of capacity tied into the cables. Exhibit 1 shows Telegeography's estimates of capacity used, capacity available, and future capacity available.

When Global Crossing built the AC-1, the project, by itself, accounted for 43% of transatlantic fiber capacity. A year later, the AC-1's capacity was doubled. Then, in December 1999, the Columbus III cable was completed, with a structure just like the AC-1, and a starting capacity of 40 Gbps. Yellow became operational in September of 2000, with a capacity of 320 Gbps (expandable to 1,280Gbps). In April of 2001, the 360atlantic project became operational with a capacity of 160 Gbps (expandable to 1,920 Gbps). In June 2001, the FLAG Atlantic cable and the Tyco Transatlantic cables would both become operational, adding 160 and 460 Gbps to capacity, respectively (each expandable to 2,500 Gbps). Exhibit 8 shows the capacity in existence in 2001 and a forecast through 2004.

This rapid expansion in capacity placed a strong downward pressure on prices. When Global Crossing entered the transatlantic market in early-1998, it priced a 25-year IRU for an STM-1 at $8 million. Eighteen months later, STM-1s were selling for $2 million. As the capacity of Yellow came on line, prices fell sharply. By April 2001, 20-year IRUs for an STM-1 were selling for $500,000.

As prices fell rapidly, both buyers and owners became more interested in short-term lease arrangements. Consequently, an informal market for leased capacity became increasingly active and formalized.

Annual lease transactions for a transatlantic STM-1 first appeared in April of 1999, at prices of about $1.5 million per year. This lease rate stabilized at about $1.0 million until mid-2000, when it fell suddenly to about $500,000 and thence to $200,000 by early 2001. Many of the lessors of bandwidth were purchasers of STM-1 who had idle capacity and sought a cash return on their investment. In addition, some companies like Enron, Band-X, and Williams Communications started spot-markets to trade the free capacities available over the different routes.

Many analysts were somewhat shocked at this rapid fall in prices. Expectations had been for price reductions of 15-25% per year, not 50-70%. Analyst Brian Powell of Arran Associated, wrote:

> As we entered the year 2000 AD, some carriers were reported to be jettisoning transatlantic STM-1 (155Mbit/s) 20 year IRU's at prices as low as US$1.5 million. And, most had paid around US$12 million for this same capacity in 1997. These 'bargain basement' deals do not necessarily truly reflect the current market value of an STM-1 (155 Mbps pipe), but are more symptomatic of panic selling of a rapidly devaluing asset as a means to bolster ailing wholesale revenue streams that have been decimated by the massive (and largely unforeseen) price-performance improvements of optical fibre systems.
>
> The cause of this effect is firmly rooted in technological improvements in DWDM that is exceeding Moore's Law to the extent that price-performance is doubling every 9 months now (compared to 18 months suggested by Moore's Law). Furthermore, new generation submarine fibre amplifiers currently enable 6 fibres to be used instead of 4, thus giving a 50% increase in capacity for very little additional capital outlay.

Telegeography, the industry's most influential collector of data and analysis on telecommunications capacity and pricing, wrote

> On trans-Atlantic routes, where increases in submarine cable capacity have pushed down STM-1 IRU prices form $12 million in 1997 to $700,000 by 2001, it would appear that the downward spiral of prices must soon level. Nevertheless, industry rumor in early 2001 had it that new cable entrants were taking pre-sales orders for STM-1 IRUs later in the year at just $375,000.

Interestingly, Internet and data network access prices to customers had not fallen. Data collected by the FCC (Exhibit 4) showed that the major U.S. telcos were, if anything, gradually raising bandwidth prices to both businesses and consumers. This fact flew directly in the face of the idea that the telecommunications industry was experiencing "silicon economics" and, like the PC industry, would deliver more and more for less and less.

Next Generation Carrier

In the context of falling prices, Global Crossing raced to complete its entire network by the end of the second quarter of 2001. For an estimated $13.55 billion, the Global Network would be over 100,000 miles long, connecting 20,000 buildings in 200 cities in 27 countries on four continents. In the end, the sub sea cables (AC-1& 2, Mid-Atlantic Crossing, South American Crossing, Pan-American Crossing, PC-1, and East Asia Crossing), the terrestrial cables (North American Crossing, Pan-European Crossing, Global Crossing UK, Mexican Crossing, Trans-Andean Crossing, Global Access Ltd[2] and Hutchinson Global Crossing[3]) and the targeted forty metro-rings would be linked together forming the first global network.

While 85% of the global network was in place at the end of Q1-2001, the focus for that year was the local metro-rings—fiber rings built around cities, with short links to major buildings and complexes. Global Crossing planned to extend the number of fiber rings it owned from 18 (Atlanta, Chicago, Dallas, Los Angeles, Miami, New York, Philadelphia, San Francisco, San Jose, Washington DC, Amsterdam, Frankfurt, London, Milan, Paris, Hong-

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[2] Global Access Ltd is venture between Asia Global Crossing (49%) and Marubeni of Japan (51%) that connects Tokyo, Osaka and Nagoya with an initial capacity of 20Gbps (upgradeable to 800Gbps). Asia Global Crossing invested approximately $200 million in the venture.

[3] Hutchinson Global Crossing is a 50/50 joint venture between Asia Global Crossing and Hutchinson Whampoa that combines Hutchinson Whampoa's existing infrastructure in Hong-Kong with Asia Global Crossing's inter-Asia network and access to Global Crossing's International Network. It includes direct connection to 800 buildings with another 300 buildings block wired for near-direct access. Asia Global Crossing invested approximately 450 million in HGC.

Kong, Osaka, Tokyo) to 40. The falling fortunes of the CLECs (competitive local exchange carriers) who had built many fiber rings in the mid-1990s made this feasible.

With the entire network expected to be in service in the first half of 2001, Global Crossing was transitioning from the construction phase of its business plan to the operational phase. Initially positioned as a "carrier's carrier" and selling primarily IRUs to help offset its network construction cost, Global Crossing was converting itself into a fully operational network service provider.

In order to do so, Global Crossing emphasized its sales efforts directed towards new clients with large requirement of data bandwidth on a global basis. During 2001, Global Crossing planned to deploy its 2,475 sales and marketing personnel towards a group of 7,500 global enterprises. These enterprises were classified into 7 segments by Global Crossing:

1. Carriers: Global Crossing would offer capacity, dark fiber or IRUs on different network paths to large telcos. Two hundred fifty sales people were planned to target this group of 1,000 potential customers.
2. NextGen: This segment (ISPs[4] and ASPs[5]) were clients that required a backbone capable of carrying a large data load. Global Crossing, through its agreement with Exodus Communication could also offer managed services and collocation space. Global Crossing expected to have a 50-person sales force in place by the end of 2001 to approach the 1,500 potential customers in this segment.
3. Financial: One of the largest users of telecom services was financial services, representing approximately 20% of the global business network market ($104 billion). Global Crossing expected to have a 350-person sales force in place by the end of 2001 to approach the 1,500 potential customers in this segment. In January 2001, Global Crossing announced the creation of its financial markets group which consolidated its subsidiaries IXnet and IPC. This group had recently acquired the following clients: Chicago Stock Exchange, Blackwood Securities, SWIFT, International Securities Exchange, Apogean Technology, and JPMorgan.
4. Media & Entertainment: The entertainment industry was expected to move towards a larger usage of data and networking services as it ramped up its conversion to digital based production and transportation. Digital television (required by the FCC for 2006), digital movie theatres and movie on demand over the Internet were expected to fuel this industry from its current $2.3billion in telecom needs to $20 billion in 2003. Global Crossing expected to have a 30-person sales force in place by the end of 2001 to approach the 1,500 potential customers in this segment.
5. Multinational Corporations: This segment included all the multinational firms that were not included in the above categories. Global Crossing hoped to take advantage of its global network in offering a superior global connectivity solution. Global Crossing expected to have a 240-person sales force in place by the end of 2001 to approach the approximately 2,000 potential customers in this segment.
6. Government: Requiring reliable, secure and cost effective voice and data networks, government represented a market of approximately $15 billion in 2001 just between the United States and Europe. Global Crossing expected to have a 30-person sales force in place by the end of 2001 to approach government buyers. Global Crossing had had initial successes with the Commonwealth Office of Great Britain and the Royal Air Force.

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[4] ISP: Internet Service Provider

[5] ASP: Application Service Provider

7. Broadband Markets: Global Crossing intended to offer futures contracts and options as the bandwidth trading market matures. Global Crossing estimated the opportunity of this segment to be in approximately $46 by 2003.

Shakeout?

The idea that the Internet was doubling every three months came under attack in late 2000. Andrew Odlyzko of AT&T Research Labs, argued that "The myth of Internet traffic that doubles every three or four months is dangerous. It leads to bad decisions. It sure helped to inflate the current bubble in optical networking stocks. After all, if demand is outpacing supply of transport capacity, then money making opportunities are virtually limitless."

Telecommunications analyst Graham Lynch was one of a growing group of telecom "bears." According to Lynch, the actual data flowing over all the world's submarine cables in mid-2001 was about 100 Gbps, with about one-half of that in the transatlantic market. He expressed skepticism that the demand was there to fill the new terabit cables.

If the industry had overbuilt, a shakeout could be predicted. In examining the question of who was best positioned to survive a potential shakeout, Lynch pointed to Global Crossing:

> Who will survive the inevitable backbone operator shakeout? Global Crossing seems the most strongly placed of the new backbone operators. Legere [CEO, Asia Global Crossing] says the company is differentiated because it provides IP backhaul in each city it serves with its undersea cable. "Besides, we get cash upfront, so we also have no bad debt and no collection cycle," he adds.
>
> Credit Suisse First Boston, in a note to clients on December 13, rates Global Crossing and 360networks as the most competitive in the sector, based on their network reach, provisioning capabilities, quality of support and ability to compete on price.
>
> It places Broadwing, Level 3, Qwest International and Williams in the next tier on the basis of their relatively smaller reach. "We believe that the sweet spot for these carriers is more apt to be the emerging xSPs as well as CLECs and cable companies," says CSFB.

JPMorgan on Global Crossing's Position

Although the market had recently punished Global Crossing's stock (Exhibit 7i), the continued growth of the Internet and the continuing improvements in optical technology made many investors bullish about "emerging carries" like Global Crossing. In an April 2001 in-depth report on the company, JPMorgan gave a "buy" recommendation. The recommendation was based on the expectation that Global Crossing was transforming into a value-added global network services provider. Selected pages from the report are displayed in Exhibits 7a through 7k.

At the heart of the JPMorgan analysis was the forecast that the US telecommunications industry would experience a rapid growth in data services and revenues. In particular, the report forecast data service revenues to grow at 31% per annum from 2000 through 2005. In dollar terms, industry data revenues would grow from $29 billion in 2000, to $112 billion in 2005. It forecast that the major incumbent carriers (AT&T, Qwest, Sprint, and WorldCom) would have data revenue growth of 22% per annum, whereas the emerging carriers (Global Crossing, Level 3, TyCom, 360networks, and Williams) would grow data revenues at 66% per annum. This would give the emerging carriers 29% of the data market by 2005.

Concurrent with this growth, JPMorgan forecast increasing industry profitability. EBITDA margins for the incumbents were about 28% in 2000, forecast to rise to 30% by 2005. The emerging carriers had an average EBITDA margin of -39% in 2000, which was forecast to go positive in 2002, and rise to 25% by 2005.

In this environment, Global Crossing was expected to be able to draw increasing strength from its global network, selling quality voice and data services in every major market around the world.

Exhibit 2 Trans-Atlantic STM-1 Prices

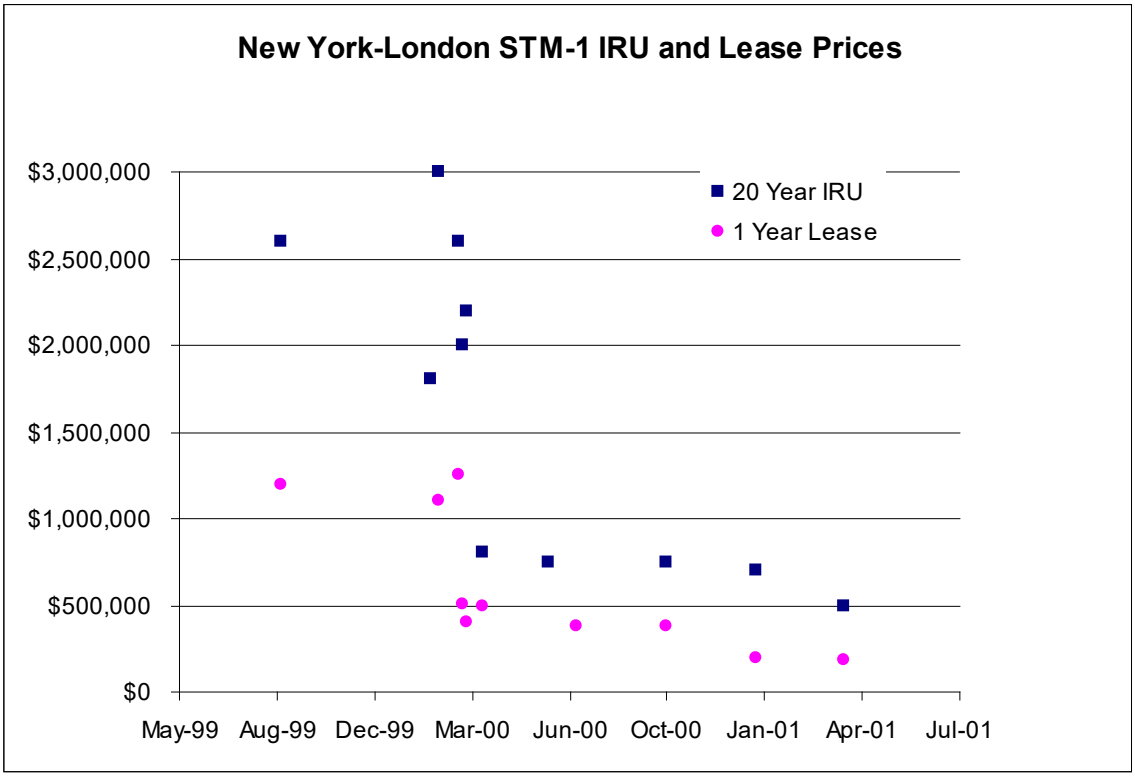


Exhibit 3a Internet Backbone Traffic

Year	Terabytes/month
Dec-90	1
Dec-91	2
Dec-92	4.4
Dec-93	8.3
Dec-94	16.3
Dec-95	?
Dec-96	1,500
Dec-97	3,250
Dec-98	6,500
Dec-99	13,000
Dec-00	23,000
Apr-01	30,000
Dec-01	55,000

Source: Odlyzko, "Internet Traffic Growth," 2002. www.dtc.umn.edu/~odlyzko

Exhibit 3b Graph of Internet Backbone Traffic

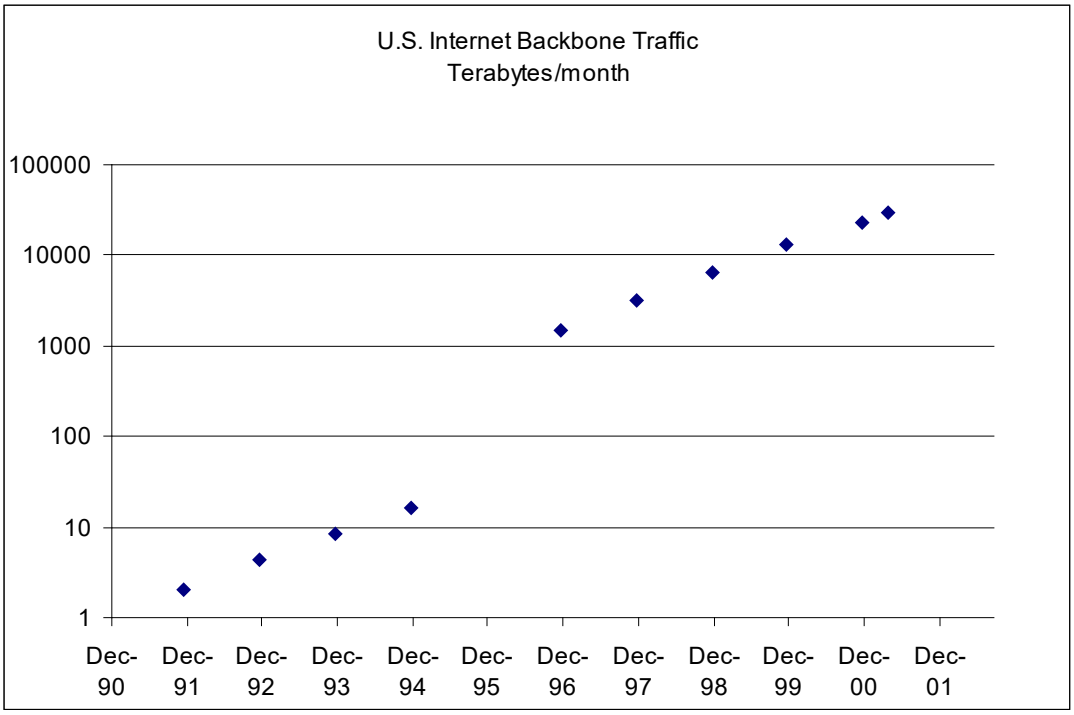
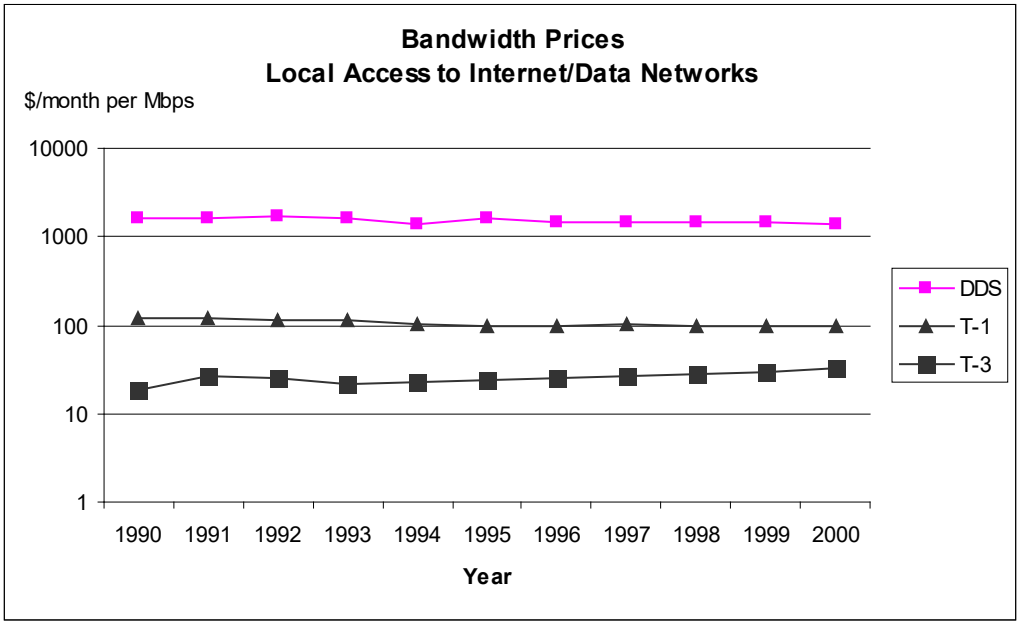


Exhibit 4a Internet/Data Bandwidth Access Prices

($/month per Mbps)

Year	DDS	T-1	T-3
1990	1622	123	18
1991	1592	118	27
1992	1707	112	25
1993	1637	112	22
1994	1366	102	23
1995	1601	96	24
1996	1444	98	25
1997	1471	102	27
1998	1453	96	28
1999	1488	97	30
2000	1383	99	32

Exhibit 4b Graph of Exhibit 4a Data



These price series were obtained from data on US West and Verizon's rates to businesses and consumers. DDS refers to 56K modem access; T-1 and T-3 lines were business data links with committed capacities of 1.55 Mbps and 44.7 Mbps, respectively.

Source: Douglas Galbi, "U.S. Bandwidth Price Trends in the 1990s," FCC, February 23, 2000.

Exhibit 5 Quarterly Financial Results—Income Statement

Income Statement	Quarter Ending	Quarter Ending	Quarter Ending	Quarter Ending
$ Millions	6/1/01	3/1/01	12/1/00	9/1/00
Cash Consolidated Revenue				
Commercial	443	422	395	411
Consumer	38	40	40	41
Service	409	389	372	355
Sales-lease	0	18	32	53
Amort IRU	16	18	11	9
Install & Maint	163	195	149	120
Cash Sale of IRUs in excess of Amo	551	531	542	353
Con Cash Rev	1620	1613	1541	1342
GAAP Revenue	1069.0	1082.0	925.0	1013.1
Cost of Goods Sold	1158.0	533.0	51.0	599.9
Gross Profit	(89.0)	549.0	874.0	413.2
Gross Profit Margin	--	50.7%	94.5%	40.8%
SG&A Expense	0.0	649.0	721.0	487.0
Depreciation & Amortization	450.0	413.0	441.0	395.9
Operating Income	(539.0)	(513.0)	(288.0)	(469.7)
Nonoperating Income	4.0	7.0	301.0	1.8
Nonoperating Expenses	140.0	142.0	100.0	111.9
Income Before Taxes	(675.0)	(648.0)	(87.0)	(579.8)
Income Taxes	(77.0)	(46.0)	(28.0)	(23.8)
Net Income After Taxes	(598.0)	(602.0)	(59.0)	(556.0)
Continuing Operations	(559.0)	(562.0)	(38.0)	(549.4)
Discontinued Operations	(71.0)	(54.0)	(383.0)	23.1
Total Net Income	(630.0)	(616.0)	(454.0)	(544.1)
Diluted EPS from Continuing Operation	(0.70)	(0.70)	(0.08)	(0.69)
Diluted EPS from Total Net Income ($)	(0.78)	(0.76)	(0.58)	(0.69)

Exhibit 6 Quarterly Financial Results—Balance Sheet and Cash Flows

	Quarter Ending	Quarter Ending	Quarter Ending	Quarter Ending
Balance Sheet	6/1/01	3/1/01	12/1/00	9/1/00
Cash	1923.0	1245.0	1477.0	1191.7
Net Receivables	758.0	942.0	880.0	961.5
Inventories	0.0	0.0	0.0	0.0
Other Current Assets	828.0	876.0	825.0	469.7
Total Current Assets	3509.0	3063.0	3182.0	2623.0
Net Fixed Assets	11823.0	10915.0	10030.0	8828.8
Other Noncurrent Assets	11457.0	16049.0	16973.0	15153.8
Total Assets	26789.0	30027.0	30185.0	26605.6
Accounts Payable	344.0	239.0	401.0	1180.7
Short-Term Debt	61.0	1000.0	1000.0	773.4
Other Current Liabilities	3367.0	3346.0	3266.0	1143.4
Total Current Liabilities	3772.0	4585.0	4667.0	3097.5
Long-Term Debt	6048.0	7385.0	6271.0	5329.9
Other Noncurrent Liabilities	4121.0	3653.0	3440.0	2076.3
Total Liabilities	14815.0	16541.0	15327.0	11001.4
Preferred Stock Equity	3159.0	3159.0	3158.0	3157.5
Common Stock Equity	8815.0	10327.0	11700.0	12446.6
Total Equity	11974.0	13486.0	14858.0	15604.1
Shares Outstanding (mil.)	886.6	885.7	884.3	882.8
Cumulative Cash Flow Statement	Jun 01	Mar 01	Dec 00	Sep 00
Net Operating Cash Flow	677.0	(10.0)	588.0	610.9
Net Investing Cash Flow	1087.0	(1273.0)	(4427.0)	(3114.6)
Net Financing Cash Flow	(1318.0)	1051.0	3686.0	2065.8
Net Change in Cash	446.0	(232.0)	(153.0)	(437.8)
Depreciation & Amortization	863.0	413.0	1381.0	939.5
Capital Expenditures	(2286.0)	(1262.0)	(4289.0)	(2905.5)

Exhibit 7 JPMorgan Report, April 17, 2001, Selected Pages, Page 1 Excerpts from David Glaymon, " Global Crossing: Spanning the Globe; Initiating Coverage--Buy" *JP Morgan Securites Inc.*, April 17, 2001

Global Crossing is building a business targeted to provide managed broadband services to global enterprises and carriers. The key pieces of its network are 85% complete, giving the company an integrated network platform. Targeting global enterprise and carrier customers, Global Crossing is positioned to drive revenue growth and margin expansion by providing a full suite of value-added services on-net to customers in almost every major telecommunications market around the globe.

Global Crossing has first-mover advantage among next-generation network providers because the key pieces of its network are essentially complete. The time-to-market edge and broader geographic reach give the company an advantage in meeting the insatiable demand for bandwidth, where provisioning, reliability, and capabilities are equally as important as price. Additionally, the time advantage has allowed the company to recover a significant portion of its network expenditures through capacity sales, thus lowering its imbedded costs and increasing returns on invested capital.

Global Crossing is accelerating its transformation to a value-added service provider. With the key network assets essentially complete, Global Crossing is shifting its focus to providing integrated services from network capacity/IRU sales. The company has organized its sales force to target seven channels focused on 7,500 global enterprise and carrier customers. In our view, the network outsourcing agreement with SWIFT and the recently announced contracts with the Chicago Stock Exchange and Blackwood Securities are early evidence of the transformation of Global Crossing.

We believe a more complex task for Global Crossing is the evolution to service provider. With more than 2,475 people in the sales and marketing organization, providing services targeted to global customers is far more complicated than selling circuits to carriers. The ability of the organization to accurately meet the needs of its customers in a timely fashion will likely be a critical factor in determining success or failure.

We project Global Crossing's adjusted EBITDA will accelerate to $2 billion in 2001 from $1.5 billion in 2000. Our 12-month target price of $29.00 is based on our discounted cash flow analysis that is supported by comparable trading multiples, as well as the strategic value the company is creating. It does not take into consideration the company's ownership in Exodus Communications. Our DCF analysis uses a 15.1% WACC, a terminal EBITDA multiple of 11, and a 20% public-private discount. We believe continued success in winning customer contracts, such as SWIFT, and revenue growth would help drive the stock to our price target.

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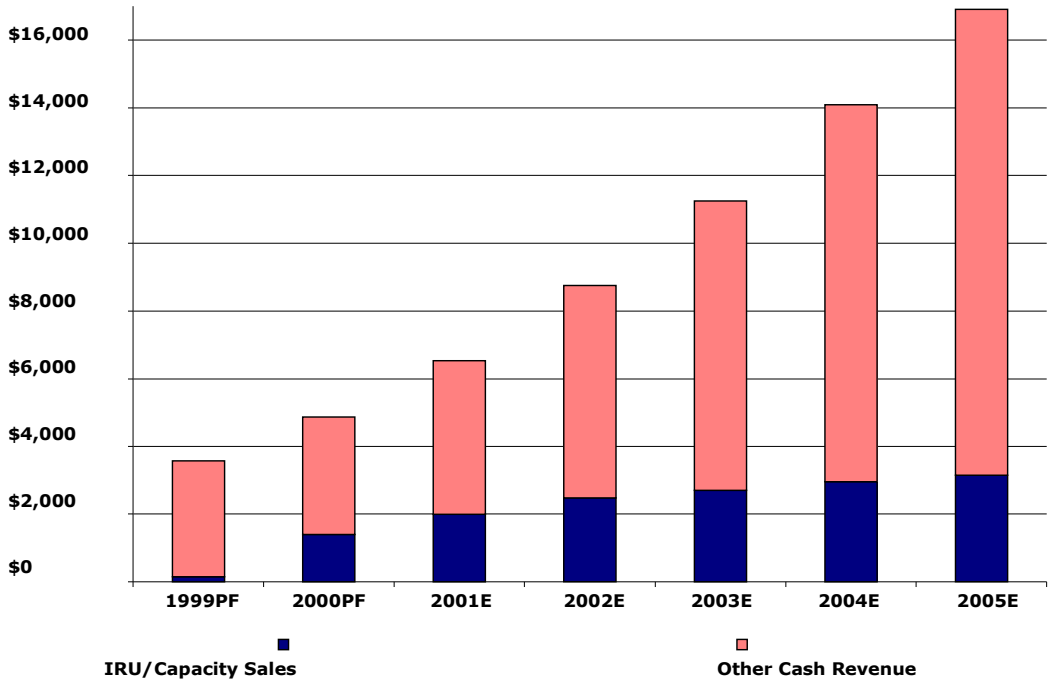
Exhibit 7--continued

Even with the services evolution, capacity sales are still a solid contributor to cash revenues. During its construction years, capacity sales to carriers were the foundation of Global Crossing's revenue stream. More importantly, the capacity sales provided a steady source of cash for funding the construction and for lowering its imbedded cost per unit within the network. In 2000, Global Crossing recognized carrier IRU cash revenues of $1.4 billion, 28.7% of telecom services cash revenue. For 2001, we project that the company will recognize carrier IRU cash revenues of approximately $2 billion, an increase of 42.8% from 2000 and contributing 30.6% of estimated 2001 telecom services cash revenue. This growth coincides with the completion of the core global network during 2001, which should be the peak year for IRU sales as a percentage of telecom services cash revenue. By 2005, we estimate that carrier IRU cash sales will be $3.1 billion and 18.6% of total telecom services cash revenue. This implies a forecast 2000-2005 CAGR of 12%.

Chart 1: IRU Still Large but Declining Percentage of Telecom Services Cash Revenue, 1999-2010E

($ in millions)



Source: Company reports and JPMS estimates.

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Exhibit 7--continued

The primary fuel driving Global Crossing's engine is data revenue. In 2000, Global Crossing generated data cash revenues of approximately $2.8 billion, or 56.7% of cash revenues. By 2005, we project that data cash revenues will increase to $13.4 billion, or 78.9% of total cash revenue, which implies a forecast CAGR of 7.1%. However, this data growth forecast depends somewhat on the evolution of Voice over IP (VoIP) products. Today, Global Crossing is exploiting opportunities in carrier voice services. Any acceleration in VoIP services would increase the percentage of voice in the cash revenue mix.

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Global Crossing is now positioned to reap the benefits of completing its network as it transitions to selling enterprise and carrier services. The company's evolution to a services provider should improve margins. We expect the GAAP gross margin to expand 670 basis points to more than 58.4% in 2005 from 51.7% in 2000 as a result of the higher margins generated by both the commercial and carrier services segments. In addition, the company can drive further expansion through upgrades of its subsea network, which lower the imbedded cost per circuit and contribute to maintaining and expanding margins in a declining price environment. Subsea cable upgrades typically require fixed capital investments of 10-15% of the original cost of the subsea cable but yield more than two times the capacity, thus lowering the cost structure per unit. More importantly, once the carriers cover the initial cost of the cable through capacity sales, the cash flowing from the cable increases even more. For example, through December 31, 2000, Global Crossing's trans- Atlantic cable had signed capacity contracts valued at $1.5 billion, accounting for approximately 12% of the capacity but more than 125% of the initial capex.

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Our DCF analysis for Global Crossing is a 10-year cash flow model extending to 2010. Our discount rate is based on a 5% risk-free interest rate assumption, which includes JPMorgan economists' inflation expectations. We have estimated the equity market risk (beta) at 1.25%. Our estimate is in line with comparable companies in the group. The result of our calculation is a preliminary weighted average cost of capital (WACC) of 13.9%.

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Table 5: DCF Inputs Compared with Other Companies in Coverage Universe *($ millions except share data)*

Company	Ticker	JPMS Rating	Price 4/12/01	Target Price	WACC Discount Rate	Terminal Year Multiple	Terminal Year Revenue	Terminal Year Adj. EBITDA Margin
Global Crossing	GX	B	$10.65	$29.00	15.1&	11.0x	30,143	41.4%
360networks	TSIX	MP	$3.17	$7.00	22.0%	10.0x	10,755	51.3%
TyCom	TCM	LTB	$13.84	$49.00	17.4%	7.0x	12,430	64.2%
Mean					18.2%	9.3x	17,776	52.3%

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Exhibit 7--continued

The brass ring that Global Crossing and other emerging backbone providers hope to grab is communications services' continuing trend from voice-centric to data-centric services. The growth of the Internet is often cited as evidence of the shift from voice to data. Today there is considerable debate about the actual rate of growth in data and Internet services. Notwithstanding differences of opinion, technological advances continue to accelerate, creating new products and services, as well as opportunities to reduce bandwidth costs. The continuing acceptance of new applications and growing momentum of high-speed bandwidth connectivity – both last mile and in metropolitan areas – makes us more confident that demand remains robust. As detailed in Broadband 2001, a joint industry report by JPMorgan and McKinsey & Company, we project that U.S. Internet backbone traffic will grow at a compound annual rate of 106% in 2000-2005, to more than 1,400 petabytes per month.

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The dramatic evolution of technology throughout society has been a key factor in the data revolution. In the past 20 years, information has been created, processed, and stored ever more rapidly. The remaining piece of the equation is moving the information that has been created – communications. There is an interlocking relationship among processing, storage, and communications. Advanced communications rely on processing and storage. For communications to make the great technological leaps, we are now beginning to realize that storage and processing had to evolve. There is strong evidence that gains in communications performance will increase at a faster rate than Moore's Law – a doubling of performance every 18 months – which has been the historical rate of progression in processing and storage.

Chart 10: Improving Processor Power, 1978-2000

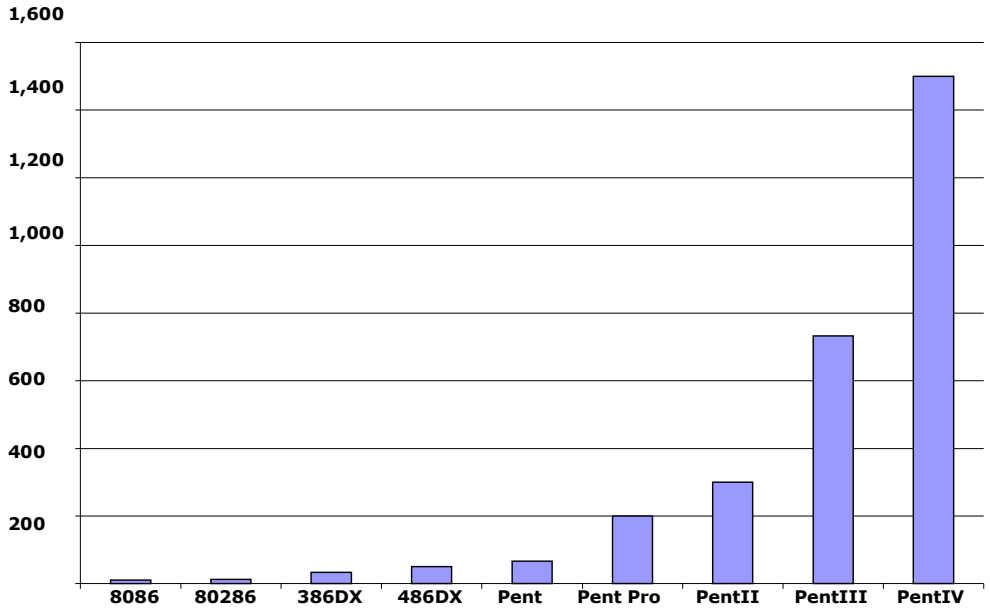
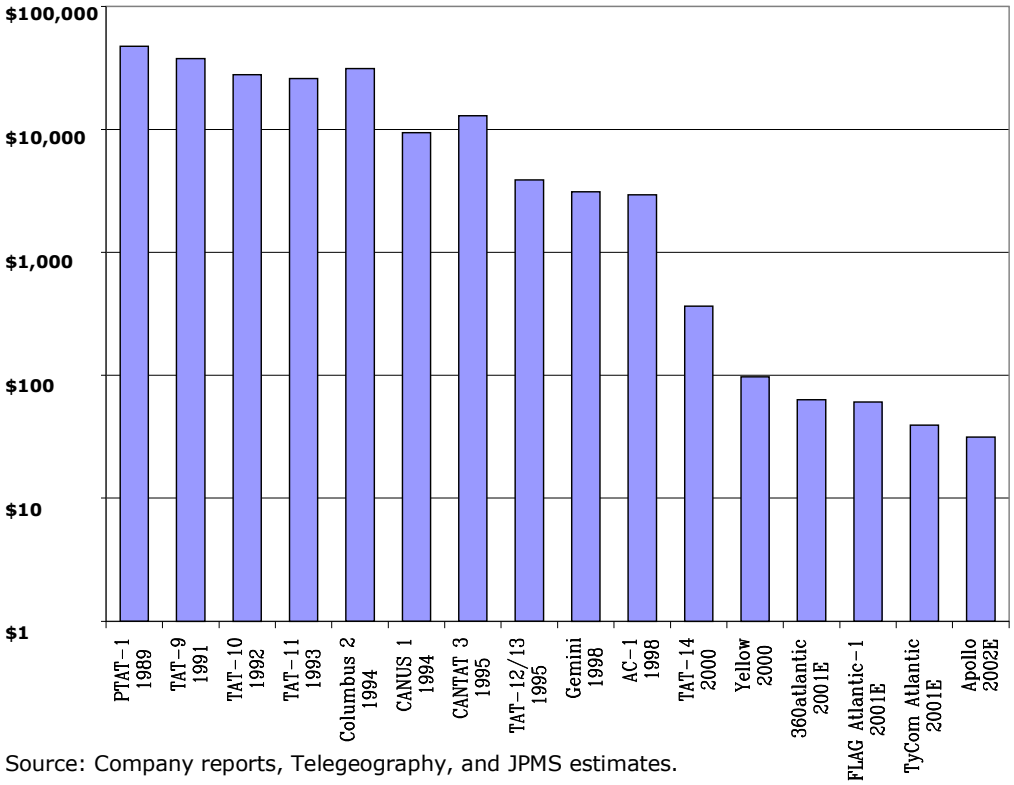


Exhibit 7--continued

Trans-Atlantic subsea capacity demonstrates how technology drives performance improvements. Until 1998, subsea networks were the exclusive domain of large communications providers that built and operated their networks within a joint development system referred to as "the Club." WorldCom (WCOM/$19.68/Long-Term Buy) and Cable & Wireless were partners in the Gemini cable, but Global Crossing, with its AC-1 cable, was the first independent network to span the Atlantic Ocean. Since the announcements of AC-1 and TAT-14, there has been a dramatic decrease in the price of capacity as technological improvements have increased the price performance of subsea networks and as entrepreneurial companies have broken the "Club" system and captured the market's momentum. Cost per unit improvements become more dramatic with the upgrade capabilities of newer systems.

Chart 13: Cost per North Atlantic STM-1 Declines as Technology Improves

(logarithmic scale)



Source: Company reports, Telegeography, and JPMS estimates.

Exhibit 8 Trans-Atlantic Bandwidth: History and Forecast

Capacities in Gbps

						Year						
Cable	RFS	Cost $M	1997	1998	1999	2000	2001	2002	2003	2004		Ultimate
Existing												
TAT-8	1988	360	0.56	0.56	0.56	0.56	0.56	0.56	0.56	0.56		0.56
PTAT	1989	510	1.68	1.68	1.68	1.68	1.68	1.68	1.68	1.68		1.68
TAT-9	1991	406	1.68	1.68	1.68	1.68	1.68	1.68	1.68	1.68		1.68
TAT-10	1992	300	1.68	1.68	1.68	1.68	1.68	1.68	1.68	1.68		1.68
TAT-11	1993	280	1.68	1.68	1.68	1.68	1.68	1.68	1.68	1.68		1.68
CANTAT-3	1994	302	5	5	5	5	5	5	5	5		5
TAT-12/13	Sep-96	750	10	10	10	10	10	10	10	10		10
Gemini	Feb-98	500	30	30	60	60	60	60	60	60		60
AC-1	May-98	750		40	80	100	140	140				160
Columbus 3	Dec-99	236			10	10	40	40	40	40		40
Yellow/AC-2	Sep-00	750				320	320	320	640	640		2560
TAT-14	Apr-01	1500					640	640	640	640		640
360atlantic	Apr-01	770					160	160	320	640		1920
To be completed												
Tyco Transatlantic	Jun-01	700					280	460	920	920		2560
FLAG Atlantic-1	Jun-01	1100					160	160	320	320		2400
Apollo	Dec-02	1200						640	640	1280		3200
Total			52	92	172	512	1822	2642	3602	4562		13562

Source: Telegeography, 2001